

Business Cycle Investing: Positioning for Market Cycles



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Markets move in cycles, not straight lines. For investors, the assumption that economic growth, earnings and asset prices move in a straight, predictable path proves costly. Instead, markets evolve through recurring phases shaped by economic activity, sentiment and policy responses. Business cycle investing emerges from this reality, recognising that understanding where the economy stands in its cycle can be as important as deciding what to invest in. Business cycles broadly move through four phases: recovery, expansion, recession and slump; reflecting shifts in economic activity over time. Recovery starts quietly as growth stabilises, expansion brings rising demand and earnings, recession signals a slowdown, and slump marks the weakest phase. Since markets anticipate these changes well before they appear in data, understanding the cycle is crucial for investors.

Economic behaviour provides valuable

clues about where the cycle may be heading. During growth phases, confidence is widespread: businesses expand capacity, factories operate at full utilisation, employees see improved job prospects, and consumers increase discretionary spending. In contrast, downturns are marked by postponed spending, idle capacity, cost rationalisation, hiring freezes and a focus on essentials. These behavioural shifts directly influence corporate profitability and sectoral leadership in equity markets.

A critical insight of business cycle investing is that sectors respond differently across phases of the cycle. Sector performance is not uniform; it rotates. Some sectors tend to benefit more during recovery and expansion, while others offer relative resilience during periods of slowdown or contraction. This rotation explains why past market leaders can underperform in subsequent phases and why static portfolios may struggle to deliver consistent outcomes across cycles.

The case for a cycle aware approach becomes stronger in a changing macroeconomic environment. In the previous decade, markets benefited from supportive conditions such as low inflation, accommodative monetary policy and relatively subdued geopolitical tensions, resulting in lower volatility. Today, investors face a markedly different landscape. Higher interest rates, structurally higher inflation and elevated geopolitical risks point towards a more volatile market environment. In such conditions, adaptability becomes a strategic advantage rather than a tactical choice.

Business cycle investing is fundamentally a top-down discipline. It begins by analysing macroeconomic indicators,

such as inflation trends, interest rates, fiscal and current account balances, capital expenditure cycles, and global growth signals, to assess the prevailing and emerging phases of the cycle. Business and consumer sentiment indicators further refine this assessment, while global factors provide essential context in an interconnected world. This framework helps investors shift focus from short-term market movements to underlying economic forces.

Another defining feature of this approach is flexibility. Rigid allocations across market capitalisations, sectors or themes do not constrain business cycle strategies. Instead, they allow portfolios to evolve as the cycle progresses. This flexibility is particularly relevant when market leadership changes rapidly, as it often does during transitions between cycles.

For mutual fund investors, business cycle investing offers a structured way to navigate complexity. Rather than relying on ad hoc reactions to news or market volatility, the investment process typically involves continuous monitoring of macro indicators and periodic reassessment of strategy. While this does not eliminate market risk, it aims to manage it by aligning portfolio exposure with prevailing economic conditions.

At its core, business cycle investing accepts a fundamental truth: volatility is not an exception in markets; it is the norm. By aligning portfolios with economic phases and adjusting sector and stock exposure as conditions change, business cycle funds are designed to enhance risk-adjusted outcomes. By anchoring allocation to the cycle rather than short-term market noise, they aim to bring discipline and resilience to investing.